

SUPERIOR COURT OF CALIFORNIA
COUNTY OF VENTURA

Tentative Ruling

**2026CUNP061044: ENVIRONMENTAL CONSTRUCTION, INC., A CALIFORNIA
CORPORATION vs CITY OF SANTA PAULA, A CALIFORNIA MUNICIPAL
CORPORATION, et al.**

07/01/2026 in Department 42

Demurrer

Motion: Defendant City of Santa Paula’s Demurrer to the Complaint (*opposed*)

Tentative Ruling:

The Court intends to GRANT Defendant City of Santa Paula’s *unopposed* request for judicial notice, and OVERRULE their Demurrer to the Complaint.

Background:

On February 5, 2026, Environmental Construction, Inc. (“Plaintiff” or “ECI”) filed a complaint alleging negligence (failure to require payment bond), negligence (negligent supervision/maintained control), breach of mandatory duty, declaratory relief, and unjust enrichment/quantum meruit (“Complaint”) against the City of Santa Paula (“Defendant” or “City”). In short, Plaintiff alleges that the construction of the “sports park” in the City constitutes a public work, the City acted as the awarding body, had a mandatory duty to require a payment bond, and failed to do so. Plaintiff alleges deprivation of statutory payment protections that would safeguard payment, and damages of \$528,528.32.

A Notice of Related Case was filed on May 19, 2026 regarding *Environmental Construction, Inc. v. Limoneira Lewis Community Builders, et al.*, case number: 2025CUBC039878, which remains pending in Ventura County Superior Court, Department 41.

Analysis:

A. Request for Judicial Notice

As a preliminary matter, there is no opposition to the City’s request for judicial notice of court records. The Court finds the request is properly granted under Evidence Code §452, subd. (d) and judicial notice is taken of the following:

1. Environmental Construction, Inc.’s Complaint against Limoneira Lewis Community Builders, LLC et. al., Ventura County Superior Court, Case No. 2025CUB039878, filed March 7, 2025
2. Limoneira Lewis Community Builders, LLC’s Cross-Complaint against Environmental Construction, Inc., Ventura County Superior Court, Case No. 2025CUB039878, filed April 8, 2026
3. Joint Stipulation for Judicial Reference, filed on January 27, 2026, in *Environmental Construction, Inc. v. Limoneira Lewis Community Builders, LLC, et al.*, Ventura County Superior Court, Case No. 2025CUB039878

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B. Legal Standard for Demurrers

A demurrer tests the legal sufficiency of a complaint by raising issues of law, not fact. (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420; *Plumlee v. Poag* (1984) 150 Cal.App.3d 541, 545.) It challenges only defects apparent on the face of the pleading or from matters subject to judicial notice. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; Code Civ. Proc., § 430.10.) The question is whether the complaint states a valid cause of action—not whether the plaintiff can ultimately prove the allegations. (*Highlanders, Inc. v. Olsan* (1978) 77 Cal.App.3d 690, 697; *Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 609–610.)

To withstand a demurrer, a complaint must allege specific facts supporting each element of the cause of action. While only “ultimate” rather than “evidentiary” facts are required (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550), the pleading must still set forth essential facts with reasonable precision and particularity to apprise the defendant of the nature, source, and extent of the claims. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099; *Gressley v. Williams* (1961) 193 Cal.App.2d 636, 643–644.)

In ruling on a demurrer, the court assumes the truth of all properly pleaded material facts but need not accept legal conclusions, contentions, or deductions. (*Blank, supra*, 39 Cal.3d at p. 318; *Daar v. Yellow Cab Company* (1967) 67 Cal.2d 695, 713.) The court may also consider matters subject to judicial notice. (Code Civ. Proc., § 430.30, subd. (a); *Stormedia Inc. v. Superior Court* (1999) 20 Cal.4th 449, 457, fn. 9.)

The complaint is construed liberally, and reasonable inferences are drawn from its factual allegations. (*Rodas v. Spiegel* (2001) 87 Cal.App.4th 513, 517.) Liberal construction, however, does not excuse the failure to plead essential facts clearly. (*Semole v. Sansoucie* (1972) 28 Cal.App.3d 714.) Ultimately, a complaint need only allege facts sufficient to state a cause of action; evidentiary detail is unnecessary. (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.) This liberal standard is applied with particular care when a demurrer is sustained without leave to amend. (*Glaire v. LaLanne-Paris Health Spa, Inc.* (1974) 12 Cal.3d 915, 918.)

C. Application

Defendant City's demurrer presents a single issue: whether allegations that the public works awarding body breached its statutory duty to require a payment bond are sufficient to plead cognizable damages, thereby rendering Plaintiff's claim ripe for adjudication.

As stated in *County of Santa Clara v. Superior Court* (2009) 171 Cal.App.4th 119, 131:

“A demurrer may be sustained when the complaint shows on its face the claim is not ripe for adjudication.” (*Breneric Associates v. City of Del Mar* (1998) 69 Cal.App.4th 166, 188, 81 Cal.Rptr.2d 324.) [...] The ripeness inquiry depends on “ ‘both the fitness of the issues for judicial decision and the hardship to the parties of withholding court consideration.’ ” (*Pacific Legal Foundation v. California Coastal Com.* (1982) 33 Cal.3d 158, 171, 188 Cal.Rptr. 104, 655 P.2d 306, italics omitted.) As the fitness of this issue for judicial decision and the hardship to the

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parties of withholding court consideration could not be resolved on the face of the complaint, the complaint was not subject to a ripeness demurrer.

Based on the allegations in the Complaint and the matters properly subject to judicial notice, the City has failed to demonstrate that Plaintiff's causes of action are unripe or that the Complaint does not allege cognizable damages. The City's argument rests on an unduly restrictive view of what constitutes recoverable damages, a position that is unsupported by the authorities it cites. In *N.V. Heathorn, Inc. v. County of San Mateo* (2005) 126 Cal.App.4th 1526, 1535–1536, the Court held:

Importantly, “the payment bond is the practical substitute for the mechanic's lien in the public works context when a stop notice is inadequate because insufficient funds remain to be paid by the awarding body.” (*Department of Industrial Relations v. Fidelity Roof Co.* (1997) 60 Cal.App.4th 411, 423, 70 Cal.Rptr.2d 465; *Washington Internat. Ins. Co. v. Superior Court* (1998) 62 Cal.App.4th 981, 986, 73 Cal.Rptr.2d 282.) “No lien being available to those who perform labor or furnish material on public works [citation], the provisions of the Public Works Act requiring a bond were obviously enacted to create a fund in lieu of the building or work itself against which materialmen and laborers might proceed as an additional and contemporaneous remedy. The bond required is not a voluntary bond but a statutory bond [citations], and affords an additional or cumulative remedy. [Citation.]” (*Pneucrete Corp. v. U.S. Fid. & G. Co.* (1935) 7 Cal.App.2d 733, 737, 46 P.2d 1000.)

In view of the foregoing considerations, we conclude the court below erred in holding that *Aubry* controlled Heathorn's claims against the County. As Heathorn persuasively argues, “[s]ince mechanics liens can be enforced to provide payment security in actions between private persons and since the public works payment bond is the equivalent of a mechanics lien, the loss of payment security suffered by Heathorn for lack of a payment bond in this instance is an injury to ‘the types of interest that are protected in actions between private persons....’” (Quoting *Aubry*, *supra*, 2 Cal.4th at p. 970, 9 Cal.Rptr.2d 92, 831 P.2d 317.)

The *N.V. Heathorn Inc.* court went on to rule: “[f]or the foregoing reasons, we reverse, finding the injury resulting from a public entity's failure to discharge its statutory duty to obtain a payment bond from the original contractor, on a public work of improvement, qualifies as an “injury” to support a cause of action under Government Code section 815.6.”¹ (*N.V. Heathorn, Inc.*, *supra*, 126 Cal.App.4th at 1537.)

Although Defendant City attempts to distinguish *N.V. Heathorn* and *Walt Rankin & Associates, Inc. v. City of Murrieta* (2000) 84 Cal.App.4th 605, on the ground that those cases involved an underlying failure or inability to pay, the Court does not read either decision so narrowly. The plain language of *N.V. Heathorn*, together with the public policy underlying the payment bond statutes, reflects a legislative intent to provide claimants with cumulative remedies.

¹ Government Code § 815.6 provides: “Where a public entity is under a mandatory duty imposed by an enactment that is designed to protect against the risk of a particular kind of injury, the public entity is liable for an injury of that kind proximately caused by its failure to discharge the duty unless the public entity establishes that it exercised reasonable diligence to discharge the duty.”

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The failure to require a payment bond, standing alone, constitutes a cognizable injury because it deprives eligible claimants of the security the statute mandates. The absence of the required bond is itself compensable, irrespective of the ultimate outcome of the related action or whether the contractor ultimately proves unable to satisfy a judgment. Plaintiff's injury includes the loss of the additional statutory protection and remedy that the Legislature intended to provide. That injury occurred when the City failed to require the payment bond and exists independent of any future inability to collect from LLCB.

To be sure, the amount of recoverable damages may ultimately depend on the outcome of the related litigation. But uncertainty as to the extent of damages does not render the claims unripe or otherwise justify sustaining the demurrer. At the pleading stage, Plaintiff has sufficiently alleged a present injury capable of judicial determination, and the Complaint states causes of action upon which relief may be granted. The Court further notes that the City does not meaningfully challenge the sufficiency of the Complaint on any ground other than ripeness and the alleged absence of damages.

For the reasons above the Court finds the allegations, as pled in the complaint, are sufficient to allege present concrete injury, and therefore OVERRULES the demurrer on ripeness grounds.

Counsel for the moving party to give notice of the Court's ruling. Defendant is ordered to file its answer within 10 days of service of the notice of the ruling.